

CASE No. 2026CA391

In The
Colorado Court of Appeals

EMILY MASSON
Plaintiff-Appellant

v.

THE SAN MIGUEL AUTHORITY FOR REGIONAL TRANSPORTATION, THE
TOWN OF MOUNTAIN VILLAGE AND THE TOWN OF TELLURIDE

Defendants-Appellees

Appeal from the DISTRICT COURT, SAN MIGUEL COUNTY, COLORADO

Case No. 2024CV008

REPLY BRIEF OF APPELLANT MASSON TO ANSWER BRIEF OF THE TOWN
OF TELLURIDE AND THE TOWN OF MOUNTAIN VILLAGE

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I. Summary of Argument

The Towns' statement of the case in their Answer is anything but a neutral summary of the record. It omits the operative due process theory and recasts Masson's claim as turning solely on alleged misconduct in delaying dismissal, without addressing the merits of such claims brought under the Colorado Fair Campaign Practices Act, COLO. REV. STAT. § 1-45-101 ("FCPA"), or COLO. REV. STAT. § 1-11-201(1)(b), and omits critical timing facts that directly bear on the fee awards.

The appeal is not about whether the court *might* have properly found a delay in dismissal by Masson; rather, it is about whether the court could impose fees without the findings required by COLO. REV. STAT. § 13-17-103(1), including a discussion of why the delay was sanctionable based on a fair rendition of the facts, and whether Masson's FCPA claims were asserted in good faith under COLO. REV. STAT. § 13-17-102(7). The merits of the claims are crucial because there can be no finding of a sanctionable delay in dismissal if the claims had merit.

The fee orders should be reversed for four independent reasons.

First, the district court did not make the specific findings Colorado's fee-shifting statutes require before imposing attorney fees. COLO. REV. STAT. § 13-17-103(1). A bare conclusion that a claim "lacked substantial justification," without identifying which claim was sanctionable and why, is legally insufficient.

Second, the record does not support treating Masson's claims against the Towns as frivolous or otherwise lacking substantial justification. At most, the Towns identify misjoinder issues regarding the FCPA claims with the election claims. A misjoinder is not

the same thing as sanctionable litigation conduct. The proper remedy is to sever the claim, not sanction the filing.

Third, the Towns fail to engage with Masson's actual-merits arguments regarding the FCPA claims as to either Town or the election claim as directed toward TOMV. Masson challenged the alleged unlawful conduct under the FCPA tied to Measure 3A of placing gondola billboards asking for a yes vote on what Masson reasonably believed was the property of the respective Towns. Neither the court nor the Towns ever meaningfully explained why those FCPA claims lacked *any rational basis*, whether at the start of litigation or when they were dismissed. Instead, the Towns argue that because the *pro se* written complaint did not properly request monetary or declaratory relief, no valid FCPA claim could exist. That is a non sequitur. Whether an FCPA claim is cognizable and/or rational turns on the statute and the facts alleged, not on whether the prayer for relief seeks damages rather than declaratory or injunctive relief.

Fourth, COLO. REV. STAT. § 1-11-217(2) forecloses the Towns' request for appellate fees as to the election-contest theory. That statute permits fees to a political subdivision only when the public entity obtains a qualifying "Judgment" as defined by COLO. REV. STAT. § 1-11-216.5, which requires a "Judgment" by the court "on whether the approval of a ballot issue to create any debt or other financial obligation should be set aside based on the grounds set forth in section 1-11-201(4)."

A voluntary dismissal does not meet the definition of a "Judgment" under this section. In light of this fatal deficiency, the Town now seeks to argue that a "Judgment" is irrelevant as "the record does not actually reflect that the District Court awarded fees under

COLO. REV. STAT. § 1-11-217(2). Rather, the District Court's Orders are based solely on COLO. REV. STAT. § 13-17-102.

That observation may well be true, but it opens a can of legal worms for the Towns, because accepting this new claim means accepting that the court granted a motion that was not before it. The Towns brought this fee motion under COLO. REV. STAT. § 1-11-217(2), and not under the general attorney fee statute COLO. REV. STAT. § 13-17-102. So if the court's order is founded upon the basis of the general fee statute, and not the Election Code provision, the court *sua sponte* granted a motion never made or argued for by the Towns. This is a serious abuse of discretion in its own right. If correct, the court did so without any opportunity for Masson to object to or reply to the theory on which it ultimately granted the motion.

For all the foregoing reasons, this court should overturn the fee awards as to the Towns and remand this case to the district court for dismissal.

II. The Towns ignore the merits of Masson's actual claims

A. The FCPA claims against the Towns had merit

There is no dispute that Masson properly filed the FCPA claims with the Secretary of State as required under COLO. REV. STAT. § 1-45-111.7, nor that following a denial of such claims based on lack of jurisdiction, the district court was the appropriate forum. COLO. REV. STAT. § 24-4-106(3).

In Masson's *pro se* written complaint, she cited the full text of the possible FCPA violation claims as to the Towns under COLO. REV. STAT. § 1-45-117 and 1-45-103(6)(c).

The claims concerned the Towns' placement of "Yes on Measure 3A Gondola" billboards at the Towns' entrances, which were allegedly in violation of the law. CF, pp. 6, 8. The motion to dismiss filed by TOMV asserted only that, "assuming, arguendo," the Town placed the new gondola car on "public right-of-way at the entrance of Mountain Village," the court does not have jurisdiction over the claim. CF, p. 145. Similarly, TOT asserted that "the gondola car might have crossed a property line," but such placement was "inadvertent." CF, p. 169.

These FCPA claims were also discussed during the case briefing, including the fact that Masson complied with the requirement to first send the claims to the Secretary of State. CF, p. 193, 197-198, 201-207, which is a prerequisite for filing in District Court.

These election claims were also discussed at trial, where Masson was asked whether she had first filed them with the Secretary of State. Masson testified that she had, but the Secretary stated they had no jurisdiction. CF, p. 1004-1005.

The Towns never engaged the actual election-code claims on the merits. Instead, they advance a cramped, non-sequitur theory that, because Masson's complaint did not seek monetary or declaratory relief, there could be no valid FCPA claim before the court. TOMV stated, "[t]hus, even if Contestor's FCPA and sign code allegations were true, they could not, as a matter of law, entitle Contestor to any relief against TOMV." CF, p. 532.¹ That argument misses the point. The existence of an FCPA claim turns on the facts alleged

¹ See also TOT motion "[e]ven assuming Ms. Masson had a legitimate dispute with the Town regarding FCPA violations (which the Town disputes), the plain language of C.R.S. § 1-11-201(3) precludes an FCPA violation from overturning the result of an election." CF, p. 508.

and the law, not on whether the pleading properly requests damages, *in addition to* overturning the election.

Now, continuing this tradition, the Towns never squarely address why those FCPA claims, as pleaded and litigated, were frivolous, groundless, or unsupported by substantial justification.² Nor do the Towns point to any argument they made below, which asserts why such claims were frivolous. More importantly, there is no written record of the trial explaining why it deemed these FCPA claims frivolous, or even if the court was aware of the nature or basis of the claims themselves.

B. Masson's claim against TOMV for illegal voting was potentially valid

Masson asserted a *potentially* valid claim against TOMV for encouraging illegal voting by second-home owners COLO. REV. STAT. § 1-11-201(3)(b). CF, pp. 5, 560, 768. Had there been enough second-homeowner votes to change the result, that claim may well have had merit. However, on March 21, 2025, SMART documented that only 83 second homeowners had voted, which was insufficient to change the election even if all had voted for 3A. CF, p. 396. Masson dismissed this claim, and the other claims, against TOMV a few weeks later. Was this the claim the court found was unreasonably delayed for dismissal? That is also unknowable based on the trial court's short order.

² When seeking attorney fees TOMV does make a claim that it does not own the land in front of the Town of Mountain Village. CF, p. 532. However, this assertion was never made before dismissal, and TOMV provided no proof that such is accurate.

III. The fee orders of the trial court were inadequate as a matter of law

The order awarding fees to both the Towns was similarly brief:

The Court has reviewed the Motion, Response, and Reply as well as the record in this matter. For the reasons stated in the Motion and the Reply, and after review of the provisions of CRS 13-17-102, the Court finds that the claim against the Town [TOMV] lacked substantial justification as defined in such section and that Plaintiff failed to dismiss the Town [TOMV] within a reasonable time once it was clear that there were no viable claims against the Town.

CF, p. 780, 789.

But this order leaves more questions than answers.

First of all, was the court aware that Town attorney Mr. Kevin Geiger did not dispute that the gondola was likely placed on Town property, which potentially violates the FCPA? CF, p. 169. Was the court aware that TOMV simply argued in its motion to dismiss that, even if the FCPA were true, the claim would not overcome the election without addressing who placed the gondola or on what property it was placed? CF, p. 145. Later, in its Answer filed on March 21, TOMV admitted that the mayor *pro tem* posted on social media in support of Measure 3A, including a picture of the gondola billboard at the entrance to TOMV. CF, p. 215, 410, ¶ 14.³

The order also raises the question of when a “reasonable time” would have been to dismiss the claims against the Towns, one of which was admitted as potentially valid regarding TOT and the other of which was never contested on the merits.

³ TOMV also denied the gondola was placed on a public right of way, but as TOMV was dismissed a short time after this Answer, the meaning or accuracy of this denial was never litigated or established in this case or on this record. CF, p. 410, ¶ 14. As such the trial court had no record before to determine the merits of this un-litigated issue.

Colorado's fee-shifting statute does not permit a court to impose fees by bare conclusion. When a district court grants attorney fees, it "shall specifically set forth the reasons for said award" and must consider the statutory factors. C.R.S. § 13-17-103(1); COLO. REV. STAT. § 13-17-102(4). That requirement is a mandatory duty upon the court, not optional. A conclusory statement that a claim "lacked substantial justification" is not enough to permit meaningful appellate review. *Pedlow v. Stamp*, 776 P.2d 382, 385-86 (Colo. 1989); *In re Marriage of Aldrich*, 945 P.2d 1370, 1379 (Colo. 1997); *Bd. of Cnty. Comm'rs v. Auslaender*, 745 P.2d 999, 1001-02 (Colo. 1987).

A. The Towns mischaracterize the cases on how detailed a written order must be.

The Towns' Answer incorrectly asserts that the district court needed only a "brief explanation" in its order, which the Towns claim was satisfied here. But that argument proves too much. If a single conclusory statement were enough, the statute's command that the court "specifically set forth the reasons for said award" would be meaningless. COLO. REV. STAT. § 13-17-103(1). Colorado appellate courts have rejected that approach. See *Pedlow v. Stamp*, 776 P.2d 382 (Colo. 1989); *In re Marriage of Aldrich*, 945 P.2d 1370 (Colo. 1997).

The Towns claim the case of *Anderson v. Pursell*, 244 P.3d 1188 (Colo. 2010), establishes that a court "is under no obligation to issue specific findings with regard to those factors." Towns' Ans. Br. at 10. But *Anderson* does not at all excuse conclusory fee orders; it merely recognizes that a trial court need not make specific findings on statutory factors *that are not actually in dispute*. The court actually stated:

“Although the trial court may not make conclusory statements that a claim lacks substantial justification, it is only required to discuss the relevant factors of section 13-17-103. In re Marriage of Aldrich, 945 P.2d 1370, 1379 (Colo.1997) (citations omitted). If none of the factors are specifically at issue, then the trial court is under no obligation to issue specific findings with regard to those factors”

(Anderson p. 1197.)

Masson has overwhelmingly established that all her claims and all the factors of section 13-17-103 were properly before the court. The court, therefore, has a clear statutory duty to address each of those relevant factors, and it failed to do so. See factor discussion in Masson’s Answer brief as to section 13-17-103(a), (b), (c), (d), (e), and (f) at CF, p. 559-563. Neither defendant nor the court ever addressed these factors on the merits. Masson also clearly raised the fact that she was *pro se* when the written claim was filed as relevant under section 13-17-102(6) safe harbor rule. CF, p. 558. This issue was also never addressed.

IV. The Towns Were Not Entitled to Fees Under C.R.S. § 1-11-217(2) as no judgment was obtained by the Towns

The Towns assert that since a voluntary dismissal with prejudice is an appealable order, it is a “Judgment” for purposes of COLO. REV. STAT. § 1-11-217(2) fee liability. The Towns’ reliance on C.R.C.P. 54(a) and *Brody v. Bock*, 897 P.2d 769, 777 (Colo. 1995) is misplaced because those authorities address finality *for appeal*, not the Election Code’s fee trigger of a “Judgment.” Finality is not the same as the statutory adjudication required by C.R.S. § 1-11-217(2). Likewise, *Batterman v. Wells Fargo Ag Credit Corp.*, 802 P.2d 1112, 1118 (Colo. App. 1990) supports Masson in that a dismissal with prejudice, without more, is clearly not an “adjudication on the merits” of the case.

But more importantly, the Towns' position ignores the prior section of this Election title, COLO. REV. STAT. § 1-11-216.5, where the relevant "Judgment" is defined as one where the district court "shall pronounce" on whether the ballot issue "should be set aside." COLO. REV. STAT. § 1-11-216.5. Here, the district court never entered that kind of Judgment on the merits against Masson.

Apparently, realizing their problem of not having a "Judgment" as defined by the Election Code, the Towns now contend on appeal:

"The record does not actually reflect that the District Court awarded fees under Colo. Rev. Stat. § 1-11-217. Rather, the District Court's Orders are based solely on Colo. Rev. Stat. § 13-17-102 ..."

Towns' Ans. Br. at p. 15.

But here is the problem. The Towns' only theory of recovery for attorneys' fees in their motions before the court was based entirely upon COLO. REV. STAT. § 1-11-217(2), which simply adopts the definition of "frivolous" from COLO. REV. STAT. § 13-17-102.⁴ CF, pp. 504-511; 529-537; 643-657. As the Towns stated in their Answer, "both Towns moved for attorney's fees under C.R.S. §§ 1-11-217 and 13-17-102, asserting that Ms. Masson's litigation conduct was frivolous." Towns' Ans. Br. at p. 3.

The court's order, however, grants fees solely under COLO. REV. STAT. § 13-17-102, even though the Towns never made this argument. Additionally, at no point did the court indicate it was considering, *sua sponte*, awarding fees under a different theory that did not require a Judgment under COLO. REV. STAT. § 1-11-217(2).

⁴ COLO. REV. STAT. § 1-11-217(2) "[A] judgment for costs and fees shall be awarded in favor of the state or a political subdivision only if the suit is ruled frivolous, as provided in article 17 of title 13, C.R.S."

A trial court may not grant dispositive relief on a legal ground that the movant did not raise without first providing the opposing party notice and a meaningful opportunity to respond. *Rubins v. Plummer*, 813 P.2d 778, 779–80 (Colo. App. 1990). When a court introduces and decides a new issue *sua sponte*, an objection is not required before appellate review where the affected party had no opportunity to object. See also *Rinker v. Colina-Lee*, 2019 COA 45, 452 P.3d 161, ¶¶ 23–26.

The orders awarding the Towns their attorney fees, therefore, do not align with the relief requested and the stated statutory basis of their motions. Further, the court never provided an opportunity to address such a claim. This is a manifest abuse of discretion by the trial court.

As the Towns correctly point out, arguments not made in front of the trial court are not allowed to be raised for the first time on appeal. “See *Roberts v. Am. Family Mut. Ins. Co.*, 144 P.3d 546, 549 (Colo. 2006) (noting unpreserved issues will not be considered on appeal).” Towns’ Ans. Br. at p. 6.

V. Masson should be awarded her appellate fees against the Towns

The Towns’ request for appellate fees should be denied. The Towns have done nothing to address, let alone establish, that Masson's arguments on appeal are frivolous, as they bear the burden of doing so under C.A.R. 39.1. Such a request “must explain the legal and factual basis for an award of attorney fees,” which the Towns have failed to do. C.A.R. 39.1.

Rather, Masson should be awarded her own fees and double costs incurred in responding to the Towns repeated attempts in this litigation to hide the ball on whether Masson's actual claims under the Colorado Fair Campaign Practices Act COLO. REV. STAT. § 1-45-101 ("FCPA") or COLO. REV. STAT. § 1-11-201(b) lacked merit. Rather, relying upon a non sequitur of an argument that such FCPA claim, if true, could not overturn the election. Further, the Towns now essentially admit they do not have a "Judgment" as defined by COLO. REV. STAT. § 1-11-216.5, which was the basis of their fee request to the trial court under the election code. Rather than appropriately abandoning their fee claim, the Towns now assert that the trial court was free to grant a request for attorney fees *sua sponte* on any basis it saw fit, whether or not such legal basis was properly before the court. This is not the law.

Because the Town defendants continue to advance a theory that misstates the statutory trigger and disregards the claim Masson actually brought, Masson respectfully requests an award of her reasonable appellate attorney fees and double costs incurred in responding to TOMV's fee argument under C.A.R. 39.1

VI. Conclusion

For these reasons, the Court should reverse the district court's fee orders and deny the Towns' requests for appellate fees. The orders below are legally insufficient because they fail to make the findings required by Colorado law, and the record does not support treating Masson's claims as frivolous, groundless, or vexatious.

The Court should further reject the Towns' attempt to recast Masson's Election Code claim into something it was not. Nor should this Court allow the Towns' bait-and-switch, in which they abandoned their claim made in their motions below for fees based on COLO. REV. STAT. § 1-11-217(2) and now assert that such an award by the court had nothing to do with such section.

Masson asks for this court to overturn the fee awards in favor of the Towns and direct the trial court to enter an order to that effect.

Additionally, because the Towns have continued to mischaracterize Masson's theories on appeal, Masson respectfully requests an award of her reasonable appellate attorney fees and double costs under C.A.R. 39.1.

DATED: July 15, 2026

MORGAN C. SMITH LAW FIRM

/s/ Morgan C. Smith

Counsel for Appellant Emily Masson

Certificate of Compliance

I hereby certify that this brief complies with the applicable word limits set forth in C.A.R. 28 and C.A.R. 32. This brief contains 3,429 words, as determined by the word-processing system used to prepare the brief. The word count includes all text except those portions excluded by C.A.R. 28(g). This brief also complies with the formatting requirements of C.A.R. 32.

DATED: July 15, 2026

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